

INET / INDONESIA EQUITIES / DIGITAL INFRASTRUCTURE / 27 SEPTEMBER 2026

Priced for a Network Nobody Has Paid For Yet

The network is being built. The cash returns are still missing.

PT Sinergi Inti Andalan Prima Tbk | IDX INET

Reference price Rp290, the close on 25 September 2026. Target horizon September 2027. Financial data to 30 June 2026, events to 25 September 2026.

Recommendation summary	Assessment
Rating	SELL
12-month target price	Rp175 (scenario weighted Rp176.6)
Downside to target	-39.7% versus Rp290, dividends excluded
Bear / base / bull	Rp65 / Rp158 / Rp325
Conviction	Medium. Direction is clear, the size of the gap depends on 2027 internet EBITDA
Market capitalization	Rp6.49 trillion on 22.374bn shares
Price to June parent book	1.77x (book value Rp163 per share)
Street view	Published targets run from Rp400 to Rp630, all Buy. We sit well below them
Suggested position	Underweight versus benchmark. For absolute portfolios, no position

Source: INET, IDX, Stockbit, press reports of broker targets, our estimates. Forecasts, valuation and rating are ours, not company guidance.

The short version

INET raised about Rp4.2 trillion in equity and debt in the first half of 2026 and used it to buy companies and pay for network capacity. Revenue went up twenty times. Most of that came from an outsourcing business that earns less than one rupiah of operating profit per hundred rupiah of sales. The internet business, which makes 92.6% of group operating profit, is growing, but it is still small, with Rp143.6 billion of revenue in the half year.

At Rp290 the market is paying for internet EBITDA that does not exist yet. On our base case, 2027 internet EBITDA reaches Rp319 billion. To justify today's price at the 9x multiple that tower and fiber peers trade on, it would need to be about Rp646 billion, roughly double. We cut our target from Rp225 to Rp175 after calibrating the internet multiple against listed peers instead of using our own unanchored range.

Rating framework. BUY when the expected 12-month return is above our 15.1% cost of equity, HOLD from 0% to 15.1%, SELL below 0%. The labels describe expected return, not a trading instruction. Amounts are in rupiah and tables use Rp billion unless stated.

Twenty Times the Revenue, Four Times the Profit

Can INET turn the capital it raised this year into recurring cash earnings before interest and new capex eat the benefit? We think the strategy makes sense on paper. Wholesale bandwidth, fiber access and subsea capacity can feed each other. What we cannot find yet is evidence that the per-share economics work.

Four findings

Internet is the only segment that earns real money. In H1 2026 internet revenue of Rp143.6 billion produced Rp66.1 billion of operating profit. Outsourcing revenue of Rp782.9 billion produced Rp5.3 billion, and a Rp2.9 billion pretax loss once its financing cost is included. Putting a telecom multiple on group revenue would overstate what the company is worth.

The valuation premium has no peer support. Towers and fiber owners in Indonesia trade at 6.3x to 10.7x trailing EV/EBITDA and the two big mobile operators at about 4.3x. Our earlier draft used 8x, 12x and 16x for the internet business. Anchoring to peers instead gives 6x, 9x and 12x, and that alone takes about Rp47 off the weighted value.

Nobody large is sponsoring the stock. Foreign investors were flat over three months (net Rp8.2 billion on Rp1.36 trillion of buying) and net sellers of Rp41 billion over six months. Every one of the five largest net buyers in the last month paid Rp338 to Rp347 a share. They now sit on paper losses of 14% to 16%, and holders under water tend to sell into rallies.

SGI brings a loss, and it came in under a smaller size test. The subsea contractor lost Rp101.1 billion in H1 2026 on Rp52.5 billion of revenue. In April the deal was classed as material and needed a shareholder vote. In September management measured it against the larger post rights equity base and it fell below the threshold.

What changed since our last draft

Item	Earlier draft	This report	Why
Reference price	Rp316 (24 Sep)	Rp290 (25 Sep)	25 Sep close now confirmed by two sources
Internet multiples	8x / 12x / 16x	6x / 9x / 12x	Calibrated to TOWR, MTEL, WIFI and TBIG
Target price	Rp225	Rp175	Lower multiples, cash assumptions unchanged
SGI loss	Period unclear	H1 2026	Confirmed in the issuer letter
Market evidence	Not covered	Broker flow, foreign flow, technicals	Stockbit and Yahoo data

Source: Our estimates. The earlier draft is the 26 September version of this note.

02 / GROUP STRUCTURE AND ACQUISITIONS

Four Deals in Nine Months

INET started operating in 2017 and listed in July 2023. It began as a wholesale connectivity provider for ISPs and enterprises. The 2025 annual report counts more than 100 active ISP customers and points of presence in eight Indonesian cities plus Singapore. In nine months the group bought four companies.

Company	What it does	Price paid and timing
PFI and legacy ISP	Fiber, IP transit, wholesale connectivity	Core business, returns depend on utilization and pricing
GPI	FTTH rollout platform, Bali and Lombok	Received Rp2,683.1bn intragroup injection in March 2026
THC, 60%	Backbone, FTTH and NAP, West Kalimantan	Rp160.0bn, consolidated from 20 February 2026
PADA	Outsourcing and workforce services	Rp106.3bn initial consideration, consolidated from 31 January 2026
IDM and SIDI	Infrastructure and data center development	IDM cost Rp48.4bn, SIDI 85% owned at June
SGI, 60%	Subsea cable engineering, construction and maintenance	Rp280.4bn new shares, completed 15 September 2026

Source: INET H1 2026 financial statements and IDX disclosures. Purchase accounting for THC and PADA was still provisional at June.

Acquired growth is not organic growth

THC added Rp40.6 billion of revenue after it was consolidated. Strip that out and internet revenue was Rp103.0 billion, up about 128.8% on H1 2025. That is a cleaner comparison, though still not a pure organic number because other perimeter changes remain. Goodwill rose from Rp0.7 billion to Rp83.0 billion in six months.

What the deals cost

Added together, THC (Rp160.0 billion), PADA (Rp106.3 billion initial consideration), IDM (Rp48.4 billion) and SGI (Rp280.4 billion) cost at least Rp595.1 billion, about 15.6% of June total equity of Rp3,808.9 billion. That is before any later tender offer payments for PADA. THC is the only one that clearly adds to the internet segment. The rest bring outsourcing revenue, infrastructure projects and a loss making subsea contractor, which is why the group looks bigger but earns a thinner margin.

02B / THE SUBSEA ACQUISITION IN DETAIL

A Cable Layer That Lost Twice Its Revenue

INET paid Rp280.4 billion for 60% of PT Sarana Global Indonesia through new shares. SGI builds and maintains subsea fiber and power cables and owns two cable ships, Nostag 10 (92 metres, 4,212 GT) and Pacific Guardian, plus a 1,000 square metre cable depot in Kupang. It has worked on the PLN and WIKA 36 km power cable and Singapore to Malaysia interconnection repairs.

SGI data point	Figure	Source
Revenue and profit, 9 months to Sep 2025	Rp65.3bn revenue, Rp7.3bn profit, Rp139.6bn assets	April disclosure
Revenue and profit, H1 2026	Rp52.5bn revenue, Rp101.1bn loss, Rp403.2bn assets	September letter
Independent appraisal of vessels and vehicles	About Rp246.2bn, price paid was above appraised fair value	April disclosure
Size test in April	65.33% of INET equity, so material and subject to a GMS	April disclosure
Size test in September	7.35% of June equity of Rp3,808.9bn, so not material	September letter
Funding line arranged	Bank JTrust facility up to Rp350bn, 12-month tenor	April disclosure
Owner before the deal	A single individual, 99.9992%, now 39.9997%	Press report

The swing from a small profit to a loss of almost twice revenue in six months is the part we cannot explain from public documents. It may be a one-off charge. It may not. We keep valuing the stake at zero, half of cost and full cost across the three scenarios until SGI’s own accounts are disclosed.

The reclassification is allowed under POJK 17/2020, since the test uses the latest audited equity. The April plan pointed to a shareholder vote in May, and we have not found a record of a separate vote on the deal. We treat it as a governance point, not a legal one.

03 / REPORTED PERFORMANCE

Bigger Is Not the Same as Better

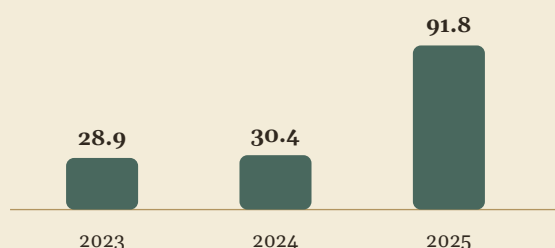
Rp billion	FY2023	FY2024	FY2025	H1 2025	H1 2026
Revenue	28.89	30.44	91.82	45.00	926.45
Gross profit	8.27	10.87	43.89	16.78	122.11
Operating profit	1.31	1.31	30.32	9.90	71.36
Profit attributable to owners	0.88	1.33	24.49	7.65	33.67
Gross margin	28.6%	35.7%	47.8%	37.3%	13.2%
Operating margin	4.5%	4.3%	33.0%	22.0%	7.7%
Owner profit margin	3.0%	4.4%	26.7%	17.0%	3.6%

Source: INET audited financial statements. H1 2025 is unaudited comparative data. Full years and half years are not like for like.

Figure 1 Acquisitions changed the scale of the group

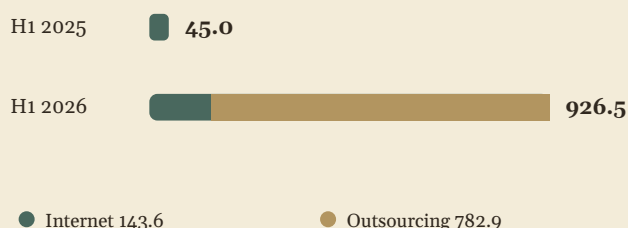
FULL YEARS

Reported group revenue, Rp bn



HALF YEARS

Reported group revenue, Rp bn



Source: INET. The two panels use separate scales. H1 2026 includes acquired outsourcing.

Revenue grew far faster than profit

Revenue in H1 2026 was 20.6 times the H1 2025 level. Owner profit was 4.4 times. Gross margin fell from 37.3% to 13.2%. This is mostly a mix effect. The internet segment itself still ran a 66.9% gross margin, so the drop does not tell us the core business got worse.

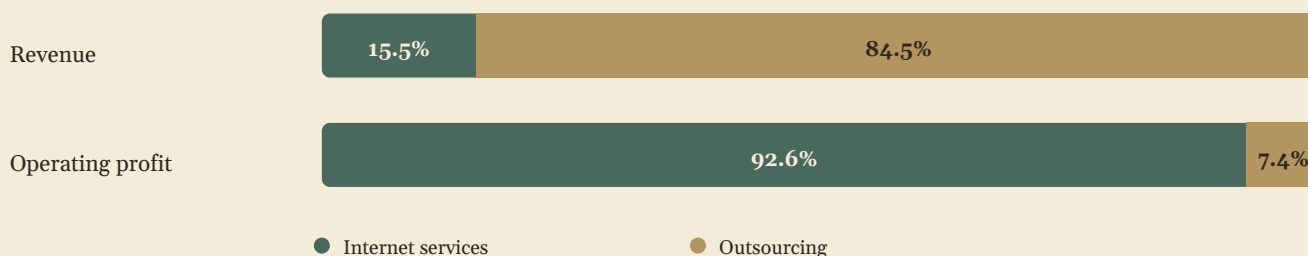
Q2 was better than Q1, with a caveat

Subtracting the unaudited Q1 filing gives implied Q2 revenue of Rp542.8 billion, operating profit of Rp42.7 billion and owner profit of Rp20.0 billion, which is 41.5%, 49.4% and 46.5% above Q1. The half-year audit and purchase accounting may have adjusted Q1, so treat these as indicative.

04 / SEGMENTS AND EARNINGS QUALITY

One Segment Makes 93% of the Profit

Figure 2 Internet earns most of the profit



H1 2026, Rp billion	Internet	Outsourcing	Group
Revenue	143.59	782.87	926.45
Gross profit	96.09	26.02	122.11
Gross margin	66.9%	3.3%	13.2%
Operating profit	66.10	5.27	71.36
Operating margin	46.0%	0.7%	7.7%
Finance income	18.59	0.25	18.84
Finance costs	41.63	8.42	50.06
Pretax profit	43.05	(2.91)	40.14

Source: INET H1 2026 segment note. Segment costs include allocations.

One customer is half the revenue

PT Nusantara Ekspres Kilat accounted for Rp456.5 billion, or 49.27%, of group revenue. Its Rp96.2 billion receivable is pledged against credit facilities. This is outsourcing exposure. It says little about demand for network capacity, but it matters for cash collection.

Net receivables were Rp289.9 billion after a Rp9.5 billion allowance. Another Rp20.6 billion was more than 180 days overdue and not impaired. We watch whether collections keep up with the payroll that outsourcing has to fund every month.

EBITDA covers interest, but not by much

Adding Rp18.2 billion of depreciation and amortization to operating profit gives H1 EBITDA of Rp89.6 billion. This is our reconstruction, not a company number. Finance cost took 55.9% of it. Operating profit covered finance cost 1.43 times.

05 / CASH FLOW AND LIQUIDITY

Rp4.3 Trillion of Cash, Almost All of It Raised

H1 2026 cash bridge	Rp billion	Comment
Opening cash	404.44	31 December 2025
Operating cash flow	20.45	After interest and tax
Investing cash flow	(848.97)	Acquisitions, equipment, IRUs, project advances
Financing cash flow	4,761.00	Rights issue, bonds, sukuk, bank loans
Closing cash	4,336.91	30 June 2026

Source: INET H1 2026 cash flow statement.

Operating cash flow was 59.8% of net income. Customer receipts of Rp834.5 billion were below revenue, though part of the gap reflects advances and billing timing rather than new receivables. Almost all of the cash increase came from outside investors.

Cash deployment measure	H1 2026, Rp billion
Purchases of fixed assets	240.95
Operating cash flow less fixed asset purchases	(220.50)
IRU advances	198.13
Advances for fixed assets	102.43
Project advances	110.00
Operating cash flow less all four lines above	(631.06)
Net cash spent on acquisitions	253.31

Source: INET, our calculations. This is not statutory free cash flow.

FY2025 cash flow is not a run rate

FY2025 operating cash flow was Rp351.6 billion, far above profit. Year-end balances held a Rp250.0 billion customer deposit and Rp48.6 billion of unearned revenue. Deposits are timing items. We do not extrapolate them.

Liquidity looks strong on a gross basis

Current assets were 2.84 times current liabilities at June and cash alone was 2.61 times. Those ratios ignore the rollout spending still to come, and we spend most of that cash in our forecast.

The 2027 Wall and the Rp300 Warrants

June 2026 balance	Rp billion
Bank loans	785.12
Bonds, carrying value	495.24
Sukuk, carrying value	495.18
Consumer financing and leases	4.94
Total debt and leases	1,780.49
Cash and equivalents	4,336.91
Net cash before customer deposits	2,556.43
Parent equity / minorities	3,656.74 / 152.19

Source: INET H1 2026 balance sheet. Carrying amounts, restricted cash excluded.

The bonds and sukuk total Rp1 trillion at face. Series A (Rp406.5 billion at 9.00%) matures on 16 February 2027. Series B (Rp593.5 billion at 10.25%) matures on 6 February 2029. Annual coupon cost is about Rp97.4 billion. Both carry an irA rating from Kredit Rating Indonesia. On top of that, INET arranged a Rp350 billion, 12-month facility with Bank JTrust to fund the SGI purchase. A drawn loan adds equal cash and debt, so it does not change net cash, but it does add to the 2027 refinancing load.

INET told the exchange on 1 September that it plans a Continuous Bond I and Continuous Sukuk Ijarah I programme in 2026. Size and pricing are not public. We assume no proceeds from it.

Warrants are just out of the money

Series II warrants (INET-W2)	Terms
Units issued	2.304 billion (cut from a proposed 3.07 billion)
Exercise price	Rp300 per share
Exercise window	13 July 2026 to 13 July 2028
Proceeds if fully exercised	Rp691.2 billion
Dilution versus June shares	10.3%
Moneyness at Rp290	3.3% below the exercise price

Source: INET, KSEI.

At Rp290 the warrants are not worth exercising, so we add neither the cash nor the shares in the bear and base cases. The bull case includes both. Reported H1 EPS of Rp3.13 uses a 10.761 billion weighted share count that does not match the 22.374 billion shares issued at both March and June. On issued shares, EPS is Rp1.50 for the half and Rp3.01 annualized.

Kilometres of Cable, Not Yet Rupiah of Revenue

A handover, a construction contract and an MoU are not the same thing. We keep them apart instead of adding up every kilometre of announced cable.

Project	Status	What it means for value
Rising 8 IRU, Jakarta to Batam to Singapore	Handover signed 15 July 2026. Broker notes cite 20 Tbps of capacity, 10 Tbps committed to WIFI under a 10-year contract	Real asset with an anchor customer. Returns depend on selling the rest
FTTH contracting for WIFI	Target 2 million homes passed by 2028, contract value about Rp540bn	Construction revenue, lumpy and tied to one counterparty
Makassar to Manado route	January contract with SGI for Rp1,550bn, Rp110bn paid by June	Now intragroup after SGI consolidation, so much of it will be eliminated
SGI Cable System	MoU of 23 September 2026, 6,870 km, 14 landing points, service target end 2028	No value in our model. Financing and offtake are not defined

Source: INET, company announcements, press reports. Company targets are not guarantees.

Costs we can see, revenue we cannot

Rising 8 cost Rp202.95 billion with Rp10.15 billion a year of maintenance. The Batam to Singapore IRU cost Rp39.6 billion plus Rp1.58 billion a year. These are commitments. What is still missing is disclosure of lit capacity, contracted capacity and the price per Gbps actually billed.

WIFI sits on both sides

Solusi Sinergi Digital (WIFI) is the anchor buyer of bandwidth, the client for FTTH contracting and a revenue sharing partner in Bali and Lombok. That concentration helps near-term visibility. It also means INET's growth case and WIFI's own funding position are closely tied. WIFI reported negative trailing free cash flow of about Rp5.6 trillion.

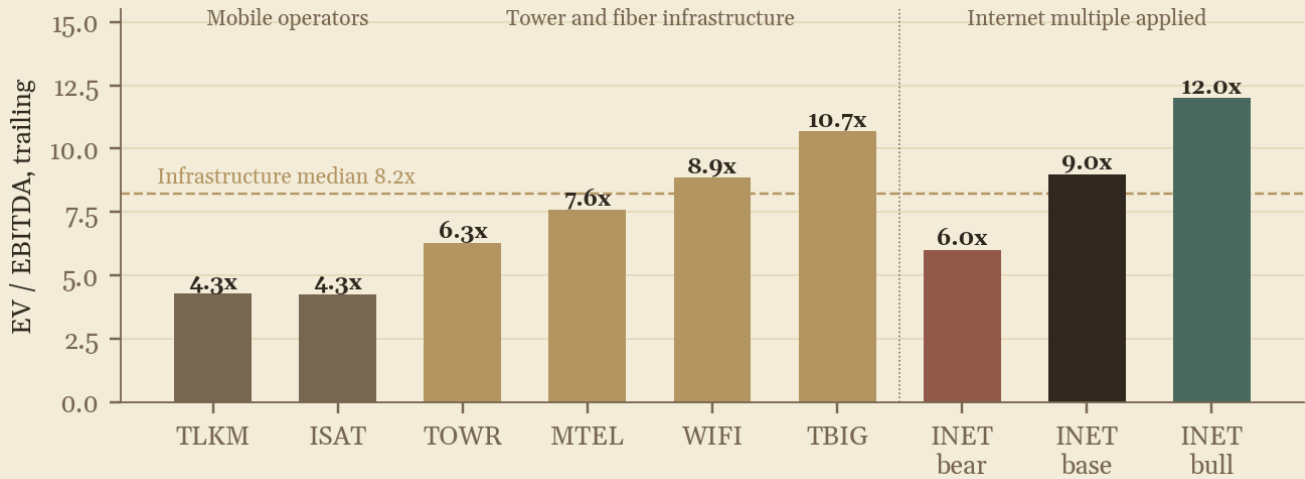
FTTH is a conversion problem

The rights issue earmarked Rp2.8 trillion for FTTH. Management targets 2 million homes passed in Bali and Lombok and 800 thousand in West Kalimantan, with 60% to 70% take-up. We have seen no paid subscriber count yet. Our model uses explicit revenue assumptions rather than those targets.

08 / WHERE THE INTERNET MULTIPLE SHOULD SIT

Towers Trade at 8x. Why Pay More?

Figure 3 Listed peers trade at 4x to 11x EBITDA



Source: Stock Analysis, trailing multiples dated July to September 2026. MORA (107.7x) is left out as an outlier.

Company	Business	EV / EBITDA	P / E	P / BV	EBITDA margin
TLKM	Integrated telecom	4.3x	14.4x	1.91x	42.8%
ISAT	Mobile operator	4.3x	10.9x	1.51x	36.7%
TOWR	Towers and fiber	6.3x	6.2x	0.83x	69.8%
MTEL	Towers and fiber	7.6x	19.3x	1.22x	65.9%
WIFI	Fiber and broadband	8.9x	17.8x	1.23x	59.7%
TBIG	Towers	10.7x	22.1x	2.37x	79.6%
INET at Rp290	ISP, outsourcing, subsea	n.m.	96x (H1 annualized)	1.77x	9.7% (H1 group)

Source: Stock Analysis, INET, our estimates. n.m. means not meaningful, because trailing EBITDA only partly includes the acquired businesses.

Tower and fiber owners earn 60% to 80% EBITDA margins, mostly on long contracts with the large mobile operators. INET's internet segment earns about 46% at the operating line and has shorter contracts. That argues for a multiple at or below the infrastructure median of 8.2x, not above it. We use 9x for the base case to give credit for faster growth, 12x for the bull case and 6x for the bear.

o8B / DISCOUNT RATE AND A CROSS CHECK ON THE MULTIPLE

A 15% Hurdle

We do not use a DCF for the target, because the build out is too early to forecast free cash flow with any confidence. We still need a cost of capital for two things, the rating hurdle and a check that our 9x base multiple fits a sensible discount rate.

Input	Value	Basis
Risk free rate	7.08%	Indonesia 10-year government bond, 25 September 2026
Equity risk premium	6.69%	Damodaran, Indonesia, January 2026
Beta used	1.2	Average of bottom-up beta 0.46 and Blume adjusted regression beta 2.0 (see note)
Cost of equity	15.1%	$7.08\% + 1.2 \times 6.69\%$
Cost of debt after tax	7.6%	9.74% face weighted bond and sukuk coupon, 22% tax
Debt weight	21.5%	Rp1.78tn debt against Rp6.49tn market capitalization
WACC	13.5%	17.7% in a stress case with Blume beta of 2.0

A note on beta. Damodaran's January 2026 unlevered beta for telecom services is 0.38 after correcting for cash. Relevered at INET's market debt to equity of 27.4% and 22% tax, that is 0.46. The raw one year regression against the IDX Composite gives 2.5 (239 daily returns, correlation 0.56), or 2.0 after Blume adjustment ($0.67 \times \text{raw} + 0.33$). The first ignores the execution risk of a company in the middle of a build out, the second is inflated by speculative trading. We take the simple average, 1.23, rounded to 1.2.

As a cross check, a business growing 6% a year forever that turns 60% of EBITDA into free cash flow is worth about 8.5x EBITDA at a 13.5% WACC. That lands close to our 9x base. Using the Indonesian rupiah risk free rate together with the full country premium double counts part of the sovereign risk, so the WACC leans conservative.

09 / OUR ESTIMATES FOR THE LEGACY GROUP, EXCLUDING SGI

Even the Base Case Means 48x Earnings

The forecast covers the June reporting perimeter. SGI sits outside it because its accounts are not public. These are our numbers, not company guidance.

Rp billion unless stated	H1 2026 actual	FY2026E	FY2027E base
Internet revenue	143.6	363.6	650.0
Outsourcing revenue	782.9	1,732.9	2,100.0
Total revenue	926.5	2,096.5	2,750.0
Internet operating profit	66.1	149.7	234.0
Outsourcing operating profit	5.3	14.8	21.0
Total operating profit	71.4	164.5	255.0
Depreciation and amortization	18.2	45.0	90.0
EBITDA (our reconstruction)	89.6	209.5	345.0
Net finance costs	31.2	79.2	70.0
Pretax profit	40.1	85.2	185.0
Tax	5.9	15.9	40.7
Profit to owners	33.7	67.4	136.3
Profit per issued share, Rp	1.50	3.01	6.09
P/E at Rp290	n.m.	96.3x	47.6x

Source: INET, our estimates. Tax at 22% on H2 2026 and FY2027 pretax profit. Minority earnings of Rp2bn (2026) and Rp8bn (2027).

Assumptions behind the numbers

H2 2026. Internet revenue of Rp220 billion at a 38% operating margin, outsourcing revenue of Rp950 billion at 1%. Finance income Rp32 billion and finance cost Rp80 billion. No revenue from the 2028 cable system.

2027 base. Internet revenue rises 78.8% to Rp650 billion as Rising 8 capacity is sold and FTTH starts billing. Operating margin eases to 36% as depreciation catches up. Outsourcing grows 21.2% at a 1% margin.

Cash to September 2027. Operating cash inflow of Rp350 billion after interest, tax and working capital, against Rp1,800 billion of capex and project spending. The company has described 2026 capex of Rp4.2 trillion on its website. If spending runs closer to that, net cash falls further than we assume.

Base case cash burn in plain numbers. We start from Rp2,556 billion of net cash at June and end at Rp557 billion in September 2027 after the SGI payment, the deposit reserve and Rp1,450 billion of net investment. Adding the Rp350 billion JTrust line would not change that figure, because it adds cash and debt in equal amounts.

Even with the base case delivered, the stock trades on 47.6x our 2027 earnings. That is the core of the SELL call. The operating plan can work and the share price can still be too high.

Fair Value Is Rp175

We value internet EBITDA and outsourcing EBITDA separately, add forecast net cash for the legacy group, add the SGI stake at a haircut, and deduct legacy minority interests.

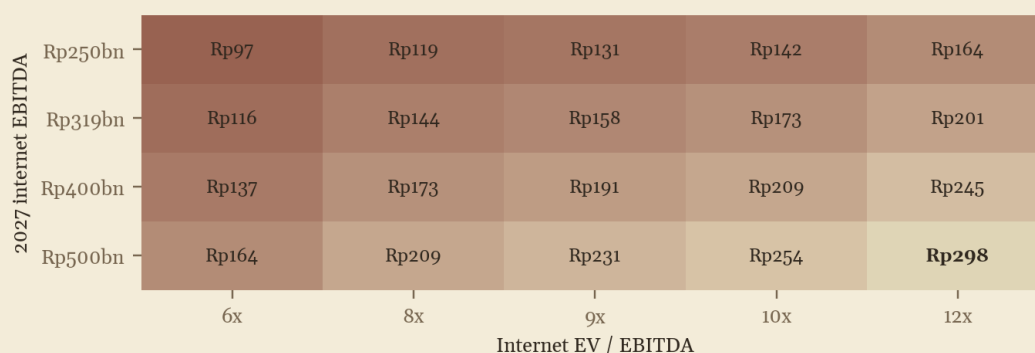
Rp billion unless stated	Bear	Base	Bull
2027 internet revenue	400	650	1,000
Internet operating margin	25%	36%	42%
Internet EBITDA	165	319	530
Internet EV / EBITDA	6x	9x	12x
Outsourcing EBITDA	14	26	53
Outsourcing EV / EBITDA	4x	6x	8x
15-month operating cash inflow	150	350	600
15-month capex and project spend	1,600	1,800	2,100
Operating enterprise value	1,046	3,027	6,786
Adjusted net cash, Sep 2027	557	557	507
SGI stake (0% / 50% / 100% of cost)	0	140	280
Minority interest deduction	150	180	250
Equity value before warrants	1,453	3,544	7,323
Value per share, Rp	65	158	325
Probability weight	25%	50%	25%
Return versus Rp290	-77.6%	-45.4%	+12.0%

Source: Our calculations. The bull value includes 2.304bn warrant shares and Rp691.2bn of exercise cash because it is above the Rp300 exercise price.

Weighted value: 25% x Rp64.9 + 50% x Rp158.4 + 25% x Rp324.7 = Rp176.6, which we round to a **Rp175 target**.

Using the multiples from our earlier draft (8x, 12x, 16x) would give Rp223. The Rp47 difference comes entirely from the peer calibration. We think the lower range is the honest one.

Figure 4 Value per share across internet EBITDA and multiple



Source: Our estimates, base case for all other inputs. No cell reaches Rp290. The closest is Rp298, at Rp500bn of EBITDA and 12x.

Rp290 Needs Twice Our EBITDA

June to September 2027 cash bridge	Base, Rp billion
June cash less debt and leases	2,556.4
Customer security deposit set aside	(269.2)
Cash paid for the SGI stake	(280.4)
Operating cash inflow, 15 months	350.0
Capex and project spend	(1,800.0)
Adjusted net cash used in valuation	556.8

Source: INET, our estimates. Setting the deposit aside is a precaution, not a claim that it will be refunded.

What Rp290 implies

Holding everything else at base case, Rp290 needs about Rp646 billion of 2027 internet EBITDA at 9x, twice our Rp319 billion. At 12x it still needs Rp485 billion, 52% above our number. Every extra Rp500 billion of capex that does not produce matching EBITDA takes about Rp22 off the value per share.

The street is far more positive

Broker	Date	Rating	Target, Rp
Kiwoom Sekuritas	15 September 2026	Buy	400
BNI Sekuritas	19 February 2026	Buy	436 to 450
Kiwoom Sekuritas	18 February 2026	Buy	630
Ciptadana Sekuritas	January 2026	Buy	600 (not updated)
Investing.com aggregate	August 2026	Strong Buy	585 average, 550 to 620
This report	27 September 2026	Sell	175

Source: Press reports of broker research. We have not seen every full report.

All published calls we found are Buy. Most were set in January and February, before the stock fell 58% from its January high of Rp685 (rights adjusted) and before H1 results showed how thin the outsourcing margin is. The most recent target, Rp400 from Kiwoom in September, is still 38% above the current price. We think the difference comes down to two things. Those notes value the growth plan on the company's targets, and they do not deduct the capex needed to reach them.

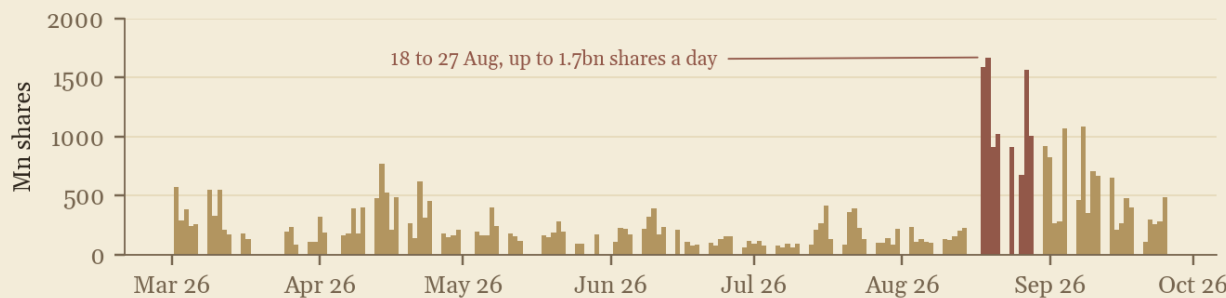
The Rally Stalled at the MA200

Figure 5 Price since the rights issue ex-date, with moving averages



Source: Yahoo Finance daily closes, adjusted by us for the rights issue (12.8bn new shares at Rp250 on 9.58bn existing, about 4 for 3), factor 0.619 before 29 December 2025. Target line is this report.

Figure 6 Daily volume, March to September 2026



Source: Yahoo Finance. Red bars mark the 18 to 27 August surge.

Indicator, 25 September 2026	Reading
Close / 52-week range (rights adjusted closes)	Rp290 / Rp157 to Rp685
MA20 / MA50 / MA100 / MA200	Rp338 / Rp286 / Rp254 / Rp324
RSI (14)	41.4, below neutral
MACD	4.9 versus signal 13.6, bearish crossover
Resistance	Rp324 (MA200), Rp336 to Rp350 (broker cost zone), Rp386 (8 September intraday high)
Support	Rp286 (MA50), then Rp230 to Rp234 (July and August base)
Volatility and beta	6.9% daily, about 110% annualized, beta 2.5 against the IDX Composite
Liquidity	Rp173bn average daily value (20 days), Rp126bn (60 days)

Source: Yahoo Finance, our calculations. INET has no listed single stock options, so there is no put/call or implied volatility data.

Figure 7 INET against the IDX Composite, rebased

Source: Yahoo Finance. INET 1M -5.2%, 3M +48.7%, YTD -37.9%, 1Y +109.2%. IDX Composite -2.6%, +5.9%, -27.8%, -22.4%.

Market positioning

The broader market has been falling. The IDX Composite closed at 6,241.9 on 25 September, down 27.8% this year and 22.4% below its level a year ago. On the day INET fell 8.2%, other infrastructure names fell with it. PGEO lost 4.7%, SSIA 4.0% and PPRE 13.5%. Money is leaving high beta infrastructure and small caps, and INET has a beta of 2.5. Its one year outperformance comes almost entirely from the rally into the January rights issue. Since then it has lagged the index.

The August rally took the stock from a Rp234 close on 14 August to an intraday high of Rp386 on 8 September. It failed at the MA200 and the Rp350 area, and the 25 September drop of 8.2% took it back to the MA50. A close below Rp286 opens the July base at Rp230. The chart does not drive our rating, but it lines up with it.

13 / FOREIGN FLOW, BROKER FLOW AND INSIDERS

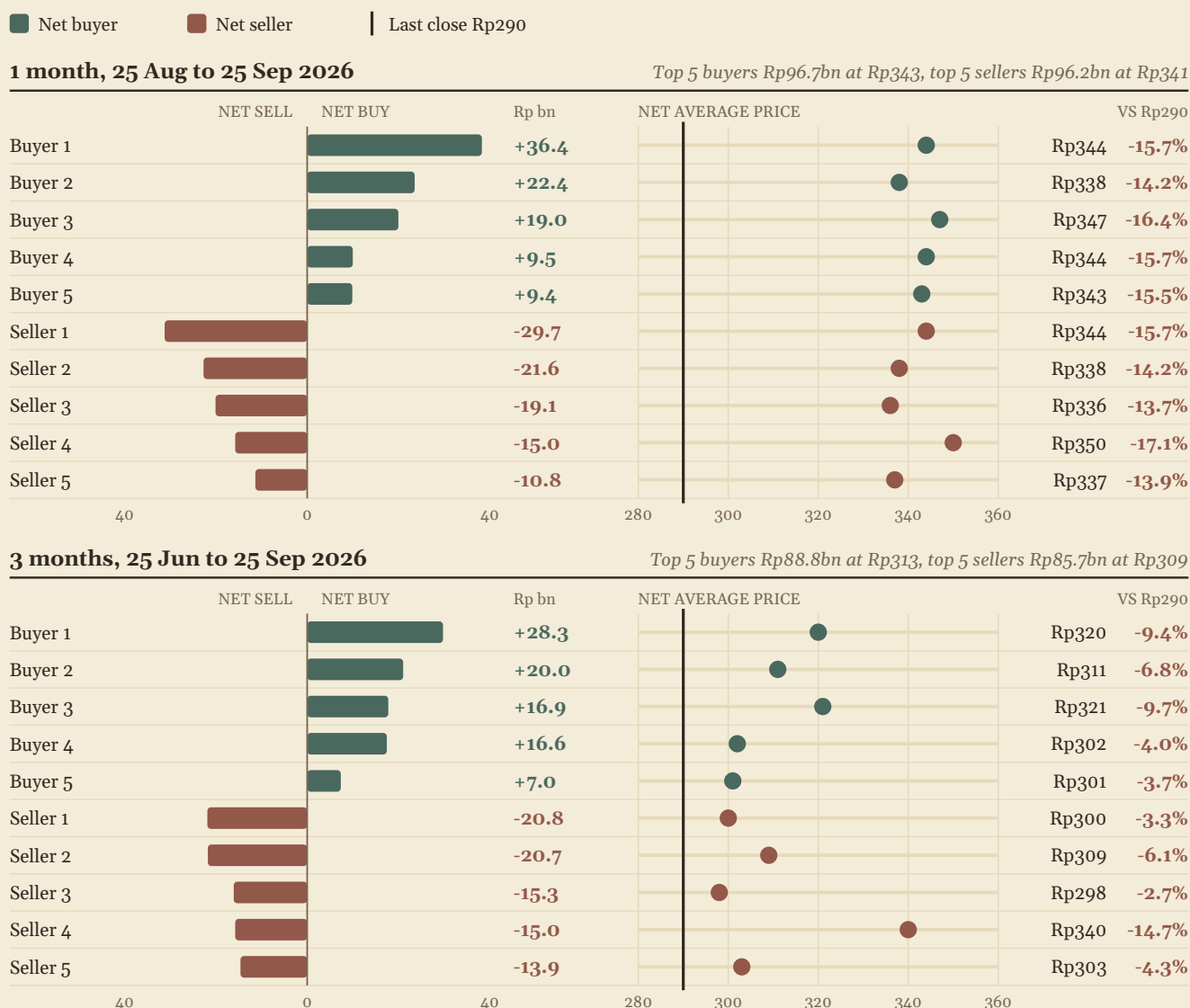
No Sponsor in Sight

Figure 8 Foreign investors traded the stock but did not build a position



Source: Stockbit, regular market. Net frequency was negative in both periods (-55.2k trades over 3M, -119.1k over 6M), meaning foreign sells came in more, smaller tickets.

Foreigners were about 18% of turnover over both periods, and their average buy and sell prices over three months were almost identical at about Rp304 and Rp305. They traded the stock. They did not build a position. The largest single day of net foreign selling, about Rp65 billion, came in late August, in the middle of the rally.

Figure 9 The ten largest net positions and the price they were built at

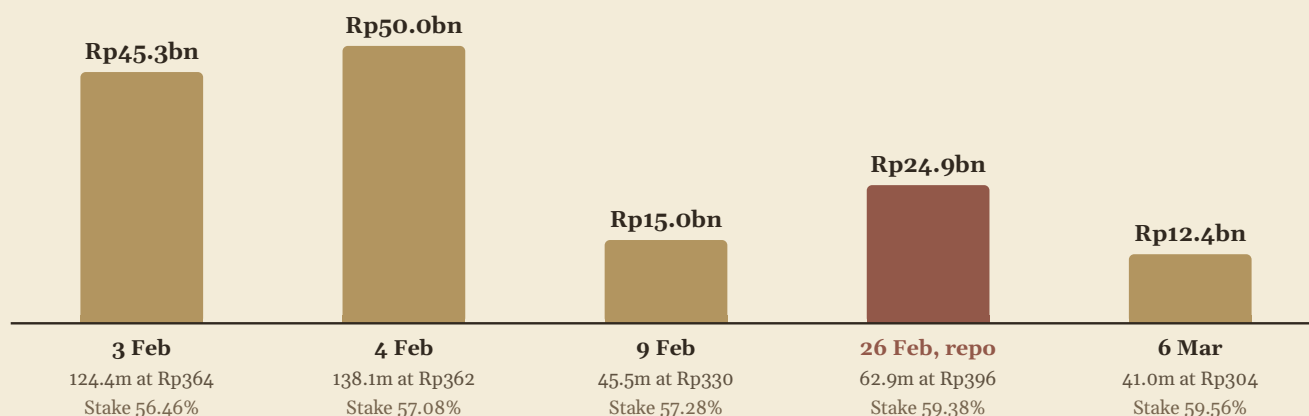
Source: Stockbit broker summary, net, regular market. The left panel shows net value, sellers left of zero and buyers right. The right panel shows each position's net average price against the Rp290 close and the paper gain or loss.

Over the last month the ten largest net positions, buyers and sellers alike, were all built at Rp336 to Rp350. The top five net buyers put in Rp96.7 billion at a weighted Rp343, so they sit on a paper loss of about 15.5%. Over three months the trade was two-way and centred on Rp309 to Rp313. One participant was a top net buyer at around Rp321 over the quarter and the largest net seller at around Rp344 in the final month, which looks like a position sold into the rally. We show broker positions anonymously and only as evidence of where supply sits.

14 / WHAT THE CONTROLLING SHAREHOLDER DID

The Controller Bought High

Figure 10 Purchases by PT Abadi Kreasi Unggul Nusantara



Source: OJK ownership reports. The 26 February purchase was made through a repurchase agreement.

We could trace five purchase reports between 3 February and 6 March, totalling about 412 million shares and Rp147.6 billion. Over the same period AKUN's stake rose from 55.91% to 59.56%, which is about 817 million shares on 22.374 billion issued. So roughly 405 million shares were bought in transactions we have not traced. The stake reached 59.77% by June.

Date	Shares bought	Price, Rp	Value, Rp bn	Stake after
3 Feb 2026	124.4m	364	45.28	56.46%
4 Feb 2026	138.1m	362	49.99	57.08%
9 Feb 2026	45.5m	330	15.01	57.28%
Between 9 and 26 Feb	Not traced	n.a.	n.a.	59.10%
26 Feb 2026 (repo)	62.9m	396	24.90	59.38%
6 Mar 2026	41.0m	304	12.45	59.56%
30 Jun 2026	Not traced	n.a.	n.a.	59.77%

Source: OJK ownership reports via StockWatch and IPOT, INET June accounts.

Every traced purchase was at Rp304 to Rp396, above today's price, and on 3 February AKUN paid Rp364 when the day's high was Rp356. This is the strongest argument against our call, and we take it seriously. Two things temper it. One purchase was financed through a repo, which is borrowed money secured on the shares. And after March the stake rose only another 0.21 points, about 47 million shares, while the stock fell to Rp157 in June. We found no share buyback programme.

What Could Go Wrong, Either Way

Risk	Evidence	What to watch
Deployment and utilization	Spending runs ahead of paying demand, the 2028 cable system is outside our horizon	Lit and billed capacity, take-up, project cash outlays
Refinancing	Rp1.78tn debt at June, Series A due 16 Feb 2027, JTrust line	Liquidity, covenant headroom, new bond terms
Concentration	One customer was 49.27% of H1 revenue, WIFI on several sides of the business	Receivable aging and collections
Acquisitions	Four deals in nine months, provisional accounting	Goodwill, intragroup eliminations, subsidiary cash flow
SIG	Rp101.1bn H1 loss, price above appraisal	SIG standalone accounts, debt, guarantees
Governance	SIG size test changed, controller buying partly via repo	Related party deals, share reconciliation

Source: INET, IDX disclosures, our assessment.

What could prove us wrong

A large contract for the unsold Rising 8 capacity, a paid subscriber number in Bali and Lombok well ahead of plan, renewed buying by the controller, or a warrant driven squeeze if the stock rises through Rp300 could each push the price up regardless of our fair value. With about 110% annualized volatility, the stock can move 30% in a few weeks. We would revisit the rating if 2027 internet EBITDA tracks above Rp450 billion.

Macro sensitivity

The 10-year government bond yield is 7.08% and has risen 65 basis points in a year. Series B pays 10.25%. The bonds and sukuk are fixed rate, so the direct exposure is the Rp785 billion of bank loans. Every 100 basis points adds about Rp7.9 billion of annual interest, around 9% of our FY2026 pretax profit. Refinancing Series A in 2027 at a higher coupon would add to that. The rupiah closed at Rp17,758 per dollar on 18 September, and imported network equipment and some bandwidth costs are dollar linked. The IDX Composite is down 27.8% this year, which is not a friendly backdrop for a high beta stock.

Covenants and ESG

The June accounts state compliance with bond and sukuk covenants, including a minimum EBITDA to interest ratio of 1.75x. Our rough group calculation gives 1.69x on total finance cost, or 1.79x using all depreciation. Definitions may differ, so this is not a breach, but the headroom looks thin. The earlier Bank DKI facility requires current ratio of at least 1x, debt to equity of at most 2.5x and DSCR of at least 1x.

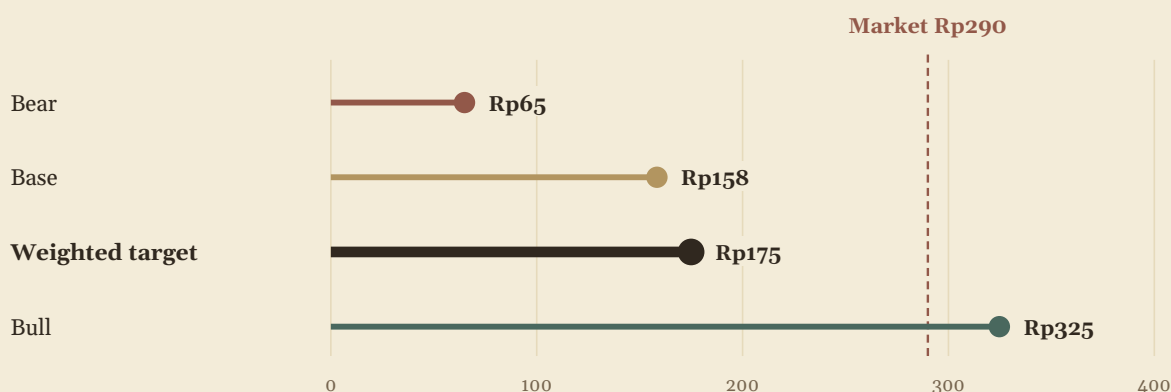
The 2024 ESG filing reports zero Scope 1 emissions and 6,173 tCO₂e of Scope 2. It predates the outsourcing workforce, the vessels and the data centers, so it says little about the group today.

Dates to Watch

Timing	Event	Why it matters
By 31 October 2026	Q3 2026 financial statements	First quarter with THC, PADA and IDM for the full period, tests H2 internet revenue
Q4 2026	Continuous Bond I and Sukuk Ijarah I, as confirmed to IDX on 1 September	Size and coupon set the 2027 interest bill
Late 2026 or 2027	First SGI numbers inside group accounts	Shows whether the H1 loss was a one-off
16 February 2027	Series A bond and sukuk maturity, Rp406.5bn	Repayment or refinancing
12 months after drawdown	JTrust facility, up to Rp350bn, drawdown date not disclosed	Adds to the 2027 funding need
13 July 2028	Series II warrant expiry, Rp300 exercise	Up to Rp691bn of cash and 10.3% dilution if in the money
End 2028, company target	SGI Cable System ready for service	Revenue beyond our 12-month horizon

Source: INET, KSEI, IDX. Dates marked as targets are company targets.

Figure 11 Scenario values against the market price



Only the bull case clears Rp290, and it needs internet revenue of Rp1 trillion in 2027, 3.5 times the H1 2026 annualized level of Rp287 billion, plus a 12x multiple and full warrant exercise.

What Would Make Us Buyers

Test	Would support an upgrade	Would support the bear case
Internet monetization	Run rate toward Rp650bn revenue in 2027 at about 36% margin	Revenue lags while depreciation and maintenance rise
Cash conversion	Collections fund a rising share of costs	Receivables age or deposits prop up liquidity
Capital discipline	Capex tied to signed demand	Spending runs toward the Rp4.2tn figure before utilization
Acquisitions	SGI loss explained and contained	Repeated subsidiary losses or impairments
Financing	Clear covenants, share count and project funding	Expensive refinancing or more dilution

Source: Our decision rules.

Positioning

For benchmark aware funds we suggest an underweight. For absolute return portfolios, no position. For anyone who already holds the stock, we would keep it below 0.5% of the portfolio. Daily volatility of 6.9% and a beta of 2.5 mean a 1% position behaves like a 2.5% position in the index. Short selling INET is not available to most investors in Indonesia, so the rating is a guide to avoid or reduce, not an instruction to short.

Questions for management

How many paying subscribers and homes passed are live today, and at what ARPU? How much of Rising 8 is lit, contracted and billed? What drove SGI's Rp101.1 billion loss, and does INET guarantee any SGI debt? How does the 10.761 billion weighted share count reconcile with 22.374 billion shares issued? Where does the JIA deposit stand after 31 July?

Limitations

This is a scenario model, not a full three statement forecast or a project level DCF. Multiples, capex and minority deductions are our assumptions. SGI is held as a stake outside the forecast. Broker and foreign flow data come from Stockbit screens and cover the regular market only. Price data are Yahoo Finance daily closes that we adjusted for the rights issue.

Conclusion. SELL, target Rp175, 39.7% below the Rp290 close. INET has the money, the assets and a plausible plan. The share price is pricing the plan as if it has already worked. We would rather wait for billed capacity and paying subscribers than pay 48 times next year's earnings for them.

The Call on One Page

Metric	Value
Rating	SELL
Conviction	Medium
Target price	Rp175
Timeframe	12 months, to September 2027
Downside	-39.7%
Scenario values	Bear Rp65 (25%), base Rp158 (50%), bull Rp325 (25%)
Position size	Underweight, 0% absolute, below 0.5% for existing holders
Cost of equity / WACC	15.1% / 13.5%
Internet multiple (bear / base / bull)	6x / 9x / 12x EV/EBITDA
Main upside risk	Rising 8 capacity sale, subscriber ramp, controller buying, warrant squeeze above Rp300
Main downside risk	SGI losses, refinancing in 2027, capex above plan, covenant headroom

This report is for research and educational purposes. It is not an offer or solicitation to buy or sell securities and does not take into account any reader's financial situation. Forecasts are estimates and can be wrong. Investing in equities involves risk, including loss of capital. Readers should consult a licensed adviser before making investment decisions.

Key Sources

Company and exchange

INET consolidated financial statements, 30 June 2026 (audited)

Base for H1 2026, segments, cash flow, debt, covenants and share count. Q1 2026 and FY2023 to FY2025 statements for history.

INET disclosure to IDX on SGI, 17 September 2026, and the April 2026 transaction plan

SGI terms, H1 2026 and 9M 2025 figures, appraisal, size tests, JTrust facility.

INET bond and sukuk prospectus, KSEI register for INET-W2

Coupons, maturities, bank covenants, warrant terms.

OJK ownership reports of PT Abadi Kreasi Unggul Nusantara

Controller purchases, February and March 2026.

Market data

Yahoo Finance, INET.JK and IDX Composite daily prices

Technicals, beta, relative performance. Adjusted by us for the rights issue. [Link](#)

Stockbit broker summary and foreign flow

Screens to 25 September 2026, captured 27 September 2026. [Link](#)

Stock Analysis, peer statistics

Trailing EV/EBITDA, P/E and P/BV for TLKM, ISAT, TOWR, MTEL, WIFI, TBIG. [Link](#)

Cost of capital

Damodaran, country risk premiums and sector betas, January 2026

Indonesia ERP 6.69%, telecom unlevered beta 0.38. [Link](#)

Trading Economics, Indonesia 10-year government bond yield

7.08% on 25 September 2026. [Link](#)

Street view

Broker targets as reported in the press

Kiwoom Sekuritas (15 September 2026, Rp400), BNI Sekuritas (19 February 2026, Rp436 to Rp450), Kiwoom Sekuritas (18 February 2026, Rp630), Ciptadana Sekuritas (January 2026, Rp600), Investing.com aggregate (Rp585).

Method

EBITDA is operating profit plus disclosed depreciation and amortization. Net cash is cash less debt and leases. Scenario equity is internet EBITDA times its multiple, plus outsourcing EBITDA times its multiple, plus adjusted net cash and the SGI stake, less minority interests. Values per share use 22.374bn shares, and add 2.304bn warrant shares and Rp691.2bn of cash when the value is above Rp300. Cost of equity is the risk free rate plus beta times the equity risk premium.